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UMC Reports Second Quarter 2023 Results

Company's differentiating specialty technologies accounted for 59% of Q2 revenue
Solid 22/28nm business momentum lifted contribution to 29%

Second Quarter 2023 Overview[1]:

- **Revenue: NT$56.30 billion (US$1.81 billion)**
- **Gross margin: 36.0%; Operating margin: 27.8%**
- **Revenue from 22/28nm: 29%**
- **Capacity utilization rate: 71%**
- **Net income attributable to shareholders of the parent: NT$15.64 billion (US$502 million)**
- **Earnings per share: NT$1.27; earnings per ADS: US$0.204**

Taipei, Taiwan, ROC – July 26, 2023 – United Microelectronics Corporation (NYSE: UMC; TWSE: 2303) ("UMC" or "The Company"), a leading global semiconductor foundry, today announced its consolidated operating results for the second quarter of 2023.

Second quarter consolidated revenue was NT$56.30 billion, increasing 3.8% QoQ from NT$54.21 billion in 1Q23. Compared to a year ago, 2Q23 revenue declined 21.9% YoY from NT$72.06 billion in 2Q22. Consolidated gross margin for 2Q23 was 36.0%. Net income attributable to the shareholders of the parent was NT$15.64 billion, with earnings per ordinary share of NT$1.27.

Jason Wang, co-president of UMC, said, "For the second quarter, we reported results in line with guidance, with wafer shipments remaining flat from the previous quarter and utilization rate of 71%. Second-quarter revenue grew 3.8% QoQ, mainly due to improved product mix within our 12-inch portfolio. Revenue from 22/28nm products continued to increase sequentially, representing 29% of second-quarter sales, while contribution from specialty technologies reached 59%. By segment, we saw short-term demand recovery in the consumer space for WiFi, digital TV, and display driver

[1]Unless otherwise stated, all financial figures discussed in this announcement are prepared in accordance with TIFRSs recognized by Financial Supervisory Commission in the ROC, which is different from IFRSs issued by the International Accounting Standards Board. They represent comparisons among the three-month period ending June 30, 2023, the three-month period ending March 31, 2023, and the equivalent three-month period that ended June 30, 2022. For all 2Q23 results, New Taiwan Dollar (NT$) amounts have been converted into U.S. Dollars at the June 30, 2023 exchange rate of NT$ 31.13 per U.S. Dollar.

ICs, while demand for computer-related products also moderately rebounded from the previous quarter. We are pleased to share that we have completed the transaction to acquire remaining shares in USCXM, our 12-inch fab in Xiamen, China. As one of UMC's four 12-inch fabs in geographically diverse locations, USCXM will continue to provide high-quality fabrication services to customers and increase its contribution to UMC's financial performance as a wholly-owned subsidiary."

Co-president Wang said: "Looking into the third quarter, wafer demand outlook is uncertain given prolonged inventory correction in the supply chain. While we saw spots of limited recovery in the second quarter, overall end market sentiment remains weak and we expect customers to continue stringent inventory management in the near term. Despite a weaker-than-expected environment going into the second half, we believe our 22/28nm business will remain resilient due to our strong position in leading edge specialty technologies such as embedded high voltage. In addition, we are gearing up to offer the necessary silicon interposer technology and capacity to fulfill emerging AI market demand from customers."

"UMC continues to enhance communication of its corporate sustainability efforts to stakeholders. This month, UMC issued its first Climate Action Report, which follows the Task Force on Climate-Related Financial Disclosures (TCFD) framework, providing a detailed overview of how UMC is responding to climate change. In addition, UMC was ranked in the top 5% of listed firms in Taiwan Stock Exchange's 2022 Corporate Governance Evaluation for the ninth consecutive year, demonstrating the company's commitment to delivering long-term shareholder value and adhering to sustainable business practices," Co-president Wang added.

Summary of Operating Results

Operating Results					
(Amount: NT$ million)	2Q23	1Q23	QoQ % change	2Q22	YoY % change
Operating Revenues	56,296	54,209	3.8	72,055	(21.9)
Gross Profit	20,252	19,224	5.3	33,472	(39.5)
Operating Expenses	(5,718)	(5,780)	(1.1)	(6,706)	(14.7)
Net Other Operating Income and Expenses	1,141	1,037	10.0	1,398	(18.4)
Operating Income	15,675	14,481	8.2	28,164	(44.3)
Net Non-Operating Income and Expenses	2,810	4,647	(39.5)	(2,586)	-
Net Income Attributable to Shareholders of the Parent	15,641	16,183	(3.3)	21,327	(26.7)
EPS (NT$ per share)	1.27	1.31		1.74	
(US$ per ADS)	0.204	0.210		0.279	

Second quarter operating revenues increased by 3.8% sequentially to NT$56.30 billion as a better product mix from wafer shipments and a favorable foreign exchange rate slightly improved financial results amid continuing semiconductor inventory correction. Revenue contribution from 40nm and below technologies remained unchanged at 41% of wafer revenue. Gross profit grew 5.3% QoQ to NT$20.25 billion, or 36.0% of revenue. Operating expenses declined 1.1% QoQ to NT$5.72 billion. Net other operating income increased to NT$1.14 billion. Net non-operating income totaled NT$2.81 billion mainly reflecting the mark to market securities. Net income attributable to shareholders of the parent amounted to NT$15.64 billion.

Earnings per ordinary share for the quarter was NT$1.27. Earnings per ADS was US$0.204. The basic weighted average number of shares outstanding in 2Q23 was 12,348,986,144, compared with 12,348,880,384 shares in 1Q23 and 12,283,479,334 shares in 2Q22. The diluted weighted average number of shares outstanding was 12,526,182,161 in 2Q23, compared with 12,597,236,266 shares in 1Q23 and 12,553,373,552 shares in 2Q22. The fully diluted shares counted on June 30, 2023 were approximately 12,526,495,000.

Detailed Financials Section

Operating revenues grew slightly to NT$56.30 billion. COGS increased 3.0% to NT$36.04 billion. Gross profit grew 5.3% QoQ to NT$20.25 billion partly due to a better product mix. Operating expenses declined to NT$5.72 billion, as Sales & Marketing and G&A fell 24.6% and 18.4% respectively, while R&D increased 19.9% sequentially to NT$3.32 billion, representing 5.9% of revenue. Net other operating income was NT$1.14 billion. In 2Q23, operating income increased 8.2% QoQ to NT$15.68 billion.

COGS & Expenses

(Amount: NT$ million)	2Q23	1Q23	QoQ % change	2Q22	YoY % change
Operating Revenues	56,296	54,209	3.8	72,055	(21.9)
COGS	(36,044)	(34,985)	3.0	(38,583)	(6.6)
Depreciation	(8,467)	(8,439)	0.3	(9,616)	(11.9)
Other Mfg. Costs	(27,577)	(26,546)	3.9	(28,967)	(4.8)
Gross Profit	20,252	19,224	5.3	33,472	(39.5)
Gross Margin (%)	36.0%	35.5%		46.5%	
Operating Expenses	(5,718)	(5,780)	(1.1)	(6,706)	(14.7)
G&A	(1,715)	(2,102)	(18.4)	(2,579)	(33.5)
Sales & Marketing	(716)	(950)	(24.6)	(915)	(21.7)
R&D	(3,317)	(2,767)	19.9	(3,209)	3.4
Expected Credit Impairment gain (loss)	30	39	(21.6)	(3)	-
Net Other Operating Income & Expenses	1,141	1,037	10.0	1,398	(18.4)
Operating Income	15,675	14,481	8.2	28,164	(44.3)

Net non-operating income in 2Q23 was NT$2.81 billion, primarily reflecting the NT$1.04 billion in net investment gain, the NT$0.97 billion in net interest income and the NT$0.80 billion in exchange gain.

Non-Operating Income and Expenses

(Amount: NT$ million)	2Q23	1Q23	2Q22
Non-Operating Income and Expenses	2,810	4,647	(2,586)
Net Interest Income and Expenses	974	908	(163)
Net Investment Gain and Loss	1,042	3,987	(3,675)
Exchange Gain and Loss	799	(239)	1,361
Other Gain and Loss	(5)	(9)	(109)

In 2Q23, cash inflow from operating activities was NT$13.76 billion. Cash outflow from investing activities amounted to NT$23.67 billion, which included NT$24.99 billion in capital expenditure, resulting in free cash outflow of NT$11.23 billion. Cash inflow from financing was NT$1.06 billion, primarily from a NT$0.94 billion in bank loans and a NT$0.29 billion in the increase in deposits-in. Net cash outflow in 2Q23 totaled NT$8.74 billion. Over the next 12 months, the company expects to repay NT$1.13 billion in bank loans.

Cash Flow Summary

(Amount: NT$ million)	For the 3-Month Period Ended Jun. 30, 2023	For the 3-Month Period Ended Mar. 31, 2023
Cash Flow from Operating Activities	13,760	26,964
Net income before tax	18,485	19,128
Depreciation & Amortization	9,931	9,903
Share of profit of associates and joint ventures	(726)	(3,248)
Income tax paid	(11,845)	(2,936)
Changes in working capital & others	(2,085)	4,117
Cash Flow from Investing Activities	(23,667)	(29,586)
Decrease in financial assets measured at amortized cost	60	598
Acquisition of PP&E	(24,139)	(29,756)
Acquisition of intangible assets	(684)	(528)
Others	1,096	100
Cash Flow from Financing Activities	1,061	1,347
Bank loans	939	(485)
Increase in deposits-in	287	1,991
Others	(165)	(159)
Effect of Exchange Rate	109	(710)
Net Cash Flow	(8,737)	(1,985)
Beginning balance	171,834	173,819
Ending balance	163,097	171,834

Cash and cash equivalents slightly decreased to NT$163.10 billion. Days of inventory increased by 2 days to 85 days.

Current Assets			
(Amount: NT$ billion)	2Q23	1Q23	2Q22
Cash and Cash Equivalents	163.10	171.83	183.72
Accounts Receivable	30.62	27.07	42.88
Days Sales Outstanding	47	54	51
Inventories, net	34.55	32.68	27.34
Days of Inventory	85	83	62
Total Current Assets	239.03	241.97	265.78

Current liabilities increased to NT$142.98 billion partly due to the NT$45.02 in dividends payable. Long-term credit/bonds decreased to NT$36.06 billion. Total liabilities increased to NT$226.31 billion, leading to a debt to equity ratio of 69%.

Liabilities			
(Amount: NT$ billion)	2Q23	1Q23	2Q22
Total Current Liabilities	142.98	105.89	131.81
Accounts Payable	8.83	9.21	9.95
Short-Term Credit / Bonds	11.59	9.77	13.22
Payables on Equipment	13.01	18.44	11.60
Dividends Payable	45.02	-	-
Other	64.53	68.47	97.04
Long-Term Credit / Bonds	36.06	37.30	45.70
Long-Term Investment Liabilities	-	4.26	8.50
Total Liabilities	226.31	194.08	216.51
Debt to Equity	69%	55%	76%

Analysis of Revenue[2]

Revenue from Asia-Pacific grew to 56% while business from North America declined to 27% of sales. Business from Europe increased to 12% while contribution from Japan was 5%.

Revenue Breakdown by Region

Region	2Q23	1Q23	4Q22	3Q22	2Q22
North America	27%	31%	30%	23%	22%
Asia Pacific	56%	50%	54%	62%	65%
Europe	12%	11%	9%	9%	8%
Japan	5%	8%	7%	6%	5%

Revenue contribution from 22/28nm increased to 29% of the wafer revenue, while 40nm contribution was 12% of sales.

Revenue Breakdown by Geometry

Geometry	2Q23	1Q23	4Q22	3Q22	2Q22
14nm and below	0%	0%	0%	0%	0%
14nm<x<=28nm	29%	26%	28%	25%	22%
28nm<x<=40nm	12%	15%	17%	17%	18%
40nm<x<=65nm	23%	19%	17%	18%	19%
65nm<x<=90nm	10%	10%	9%	8%	7%
90nm<x<=0.13um	10%	12%	12%	12%	12%
0.13um<x<=0.18um	9%	10%	10%	10%	12%
0.18um<x<=0.35um	5%	6%	5%	8%	8%
0.5um and above	2%	2%	2%	2%	2%

Revenue from fabless customers accounted for 79% of revenue.

Revenue Breakdown by Customer Type

Customer Type	2Q23	1Q23	4Q22	3Q22	2Q22
Fabless	79%	77%	81%	83%	86%
IDM	21%	23%	19%	17%	14%

Revenue from the communication segment remained at 44%, while business from computer applications stayed unchanged at 9%. Business from consumer applications was 26% as other segments accounted for 21% of revenue.

Revenue Breakdown by Application (1)

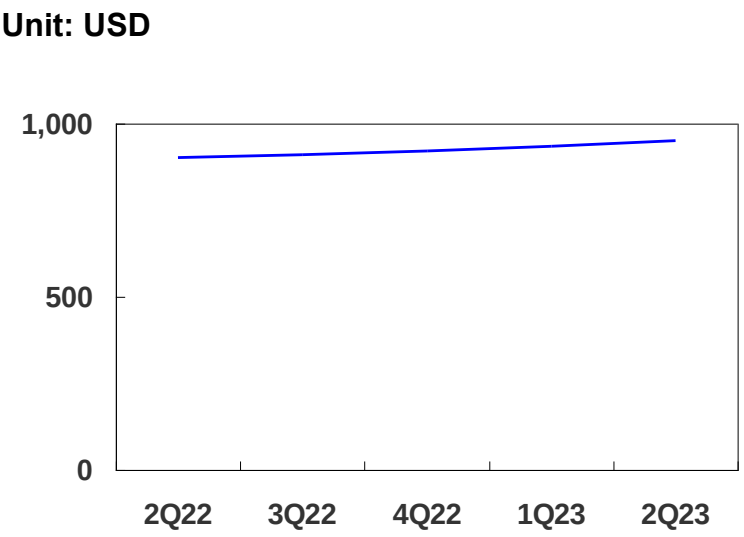
Application	2Q23	1Q23	4Q22	3Q22	2Q22
Computer	9%	9%	12%	14%	16%
Communication	44%	44%	45%	45%	45%
Consumer	26%	24%	25%	27%	27%
Others	21%	23%	18%	14%	12%

(1) ***Computer*** consists of ICs such as CPU, GPU, HDD controllers, DVD/CD-RW control ICs, PC chipset, audio codec, keyboard controller, monitor scaler, USB, I/O chipset, WLAN. ***Communication*** consists of handset components, broadband, bluetooth, Ethernet, LAN, DSP, etc. ***Consumer*** consists of ICs used for DVD players, DTV, STB, MP3/MP4, flash controller, game consoles, DSC, smart cards, toys, etc.

[2] Revenue in this section represents wafer sales

Blended ASP Trend

Blended average selling price (ASP) grew slightly in 2Q23.



Shipment and Utilization Rate[3]

Wafer shipments remained flat QoQ at 1,831K in the second quarter, while quarterly capacity was 2,626K. Overall utilization rate in 2Q23 was 71%.

Wafer Shipments

	2Q23	1Q23	4Q22	3Q22	2Q22
Wafer Shipments (8" K equivalents)	1,831	1,826	2,213	2,597	2,622

Quarterly Capacity Utilization Rate

	2Q23	1Q23	4Q22	3Q22	2Q22
Utilization Rate	71%	70%	90%	100%+	100%+
Total Capacity (8" K equivalents)	2,626	2,522	2,543	2,539	2,528

[3] Utilization Rate = Quarterly Wafer Out / Quarterly Capacity

Capacity[4]

Total capacity in the second quarter increased to 2,626K 8-inch equivalent wafers. Capacity will grow in the third quarter of 2023 to 2,659K 8-inch equivalent wafers, primarily reflecting the 22/28nm capacity expansion at Fab 12A Phase 6.

Annual Capacity in *thousands of wafers*

FAB		Geometry (um)	2022	2021	2020	2019
WTK	6"	5 – 0.15	335	329	371	370
8A	8"	3 – 0.11	765	755	802	825
8C	8"	0.35 – 0.11	459	459	452	436
8D	8"	0.18 – 0.09	410	380	371	359
8E	8"	0.6 – 0.14	469	457	449	426
8F	8"	0.18 – 0.11	550	514	485	434
8S	8"	0.18 – 0.11	443	408	373	372
8N	8"	0.5 – 0.11	952	917	917	831
12A	12"	0.13 – 0.014	1,170	1,070	1,044	997
12i	12"	0.13 – 0.040	655	641	628	595
12X	12"	0.080 – 0.022	314	284	217	203
12M	12"	0.13 – 0.040	436	395	391	98
Total[(1)]			10,031	9,453	9,188	8,148
YoY Growth Rate			6%	3%	13%	6%

Quarterly Capacity in *thousands of wafers*

FAB		3Q23E	2Q23	1Q23	4Q22
WTK	6"	83	82	80	85
8A	8"	207	207	189	192
8C	8"	120	120	113	115
8D	8"	111	109	101	103
8E	8"	122	122	116	118
8F	8"	145	145	136	138
8S	8"	112	112	109	111
8N	8"	250	248	244	245
12A	12"	333	321	305	301
12i	12"	164	164	162	164
12X	12"	80	80	78	80
12M	12"	110	110	108	110
Total		**2,659**	**2,626**	**2,522**	**2,543**

[(1)] One 6-inch wafer is converted into 0.5625 ($6^2/8^2$) 8-inch equivalent wafer; one 12-inch wafer is converted into 2.25 ($12^2/8^2$) 8-inch equivalent wafers. Total capacity figures are expressed in 8-inch equivalent wafers.

CAPEX

CAPEX spending in 2Q23 totaled US$0.82 billion. 2023 cash-based CAPEX budget will be US$3.0 billion.

Capital Expenditure by Year - in US$ billion

Year	2022	2021	2020	2019	2018
CAPEX	$ 2.7	$ 1.8	$ 1.0	$ 0.6	$ 0.7

2023 CAPEX Plan

8"	12"	Total
10%	90%	US$3.0 billion

[4] Estimated capacity numbers are based on *calculated maximum output* rather than *designed capacity*. The actual capacity numbers may differ depending upon equipment delivery schedules, pace of migration to more advanced process technologies, and other factors affecting production ramp-up.

Third Quarter 2023 Outlook & Guidance

Quarter-over-Quarter Guidance:

- Wafer Shipments: Will decline by approximately 3-4%
- ASP in USD: Will increase by 2%
- Gross Profit Margin: Rising costs will erode GM by low-single digit percentage point
- Capacity Utilization: mid-60% range
- 2023 CAPEX: US$3.0 billion

Recent Developments / Announcements

Apr. 27, 2023	UMC Files Form 20-F for 2022 with US Securities and Exchange Commission
Apr. 28, 2023	UMC Among Highest Ranked in Corporate Governance Evaluation for 9th Consecutive Year
May 3, 2023	UMC Announces 40nm RFSOI Platform to Accelerate 5G mmWave Applications
May 10, 2023	DENSO and USJC Announce Mass Production Shipment of Automotive IGBT, Targeting Expanding Electric Vehicle Market
May 31, 2023	UMC Shareholders Approve NT$3.60 Cash Dividend at Annual Shareholders' Meeting
Jul. 21, 2023	UMC Wins HR Asia 2023 Best Companies to Work for in Asia Award

Please visit UMC's website for further details regarding the above announcements

Conference Call / Webcast Announcement

Wednesday, July 26, 2023

Time: 5:00 PM (Taipei) / 5:00 AM (New York) / 10:00 AM (London)

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A live webcast and replay of the 2Q23 results announcement will be available at www.umc.com under the “Investors / Events” section.

About UMC

UMC (NYSE: UMC, TWSE: 2303) is a leading global semiconductor foundry company. The company provides high quality IC fabrication services, focusing on logic and various specialty technologies to serve all major sectors of the electronics industry. UMC’s comprehensive IC processing technologies and manufacturing solutions include logic/mixed-signal, embedded high-voltage, embedded non-volatile-memory, RFSOI and BCD. UMC has total 12 fabs in production with combined capacity of more than 850,000 8-inch equivalent wafers per month, and all of them are certified with IATF 16949 automotive quality standard. Most of UMC's 12-inch and 8-inch fabs with its core R&D are located in Taiwan, with additional ones throughout Asia. UMC is headquartered in Hsinchu, Taiwan, plus local offices in China, United States, Europe, Japan, Korea and Singapore, with worldwide total 20,000 employees. For more information, please visit: https://www.umc.com.

Safe Harbor Statements

This press release contains forward-looking statements within the meaning of Section 27A of the United States Securities Act of 1933, as amended, and Section 21E of the United States Securities Exchange Act of 1934, as amended, and as defined in the United States Private Securities Litigation Reform Act of 1995. These forward-looking statements include, but are not limited to, statements regarding anticipated financial results for the second quarter of 2023; the expected wafer shipment and ASP; the anticipated annual budget; capex strategies; environmental protection goals and water management strategies; impact of foreign currency exchange rates; expected foundry capacities; the ability to obtain new business opportunities; and information under the heading "Third Quarter of 2023 Outlook and Guidance."

These forward-looking statements involve known and unknown risks, uncertainties and other factors that may cause the actual performance, financial condition or results of operations of UMC to be materially different from what is stated or may be implied in such forward-looking statements. Investors are cautioned that actual events and results could differ materially from those statements as a result of a number of factors including, but not limited to: (i) dependence upon the frequent introduction of new services and technologies based on the latest developments in the industry in which UMC operates; (ii) the intensely competitive semiconductor, communications, consumer electronics and computer industries and markets; (iii) the risks associated with international business activities; (iv) dependence upon key personnel; (v) general economic and political conditions; (vi) possible disruptions in commercial activities caused by natural and human-induced events and disasters, including natural disasters, terrorist activity, armed conflict and highly contagious diseases; (vii) reduced end-user purchases relative to expectations and orders; and (viii) fluctuations in foreign currency exchange rates. Further information regarding these and other risk factors is included in UMC's filings with the United States Securities and Exchange Commission, including its Annual Report on Form 20-F. All information provided in this release is as of the date of this release and are based on assumptions that UMC believes to be reasonable as of this date, and UMC does not undertake any obligation to update any forward-looking statement as a result of new information, future events or otherwise, except as required under applicable law.

The financial statements included in this release are prepared and published in accordance with Taiwan International Financial Reporting Standards, or TIFRSs, recognized by the Financial Supervisory Commission in the ROC, which is different from International Financial Reporting Standards, or IFRSs, issued by the International Accounting Standards Board. Investors are cautioned that there may be significant differences between TIFRSs and IFRSs. In addition, TIFRSs and IFRSs differ in certain significant respects from generally accepted accounting principles in the ROC and generally accepted accounting principles in the United States.

- FINANCIAL TABLES TO FOLLOW -